

8.2

Long-term Provisions

In the previous section, we understood about long-term borrowings.
Now, let's understand long-term provisions.

As we do with all line items, we need first to understand how large is long-term provisions as compared to total assets?



Calculating long term provisions/total assets, we see that the number is less than 1%.

Since the numbers are insignificant, we do not need to understand every nitty-gritty while analyzing this. If the numbers were closer to 4-5%, we could have spent some time understanding them. We see that the number has constantly stayed below 1%.

Long term Provisions						
Long term provisions/ Total Assets	0.79%	0.69%	0.73%	0.74%	0.80%	0.66%
Payment terms to pay the long term provisions?						

We need to ask same set of questions for long term provisions as we did for short term provisions to understand them better. Let's look at them one by one.